

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

REGULAR/SSP -NJORO CAMPUS COLLEGE

SECOND SEMESTER, 2024/2025 ACADEMIC YEAR

FIRST YEAR EXAMINATION FOR THE DEGREE OF BACHELOR OF
COMMERCE/BACHELOR OF PROCUREMENT AND SUPPLY CHAIN
MANAGEMENT

CMGT 102: PRINCIPLES OF MANAGEMENT

STREAM: BCOM/BPSM/BENT

TIME: 2 HRS

EXAMINATION SESSION: APRIL

YEAR: 2025

INSTRUCTIONS:

- i). There are four (4) questions.
- ii). Answer question 1 (compulsory) and any two (2) other questions.
- iii). **DO NOT WRITE ANYTHING ON THIS QUESTION PAPER DURING THE EXAM.**

QUESTION ONE**(30 Marks)****CASE STUDY**

Read the following case carefully and answer Question One that follows.

The Importance of Effective Control in Business Operations

XYZ Ltd. is a mid-sized manufacturing company that produces consumer electronics. The company recently launched a new line of smartwatches, but sales have been lower than expected. The management team conducted a review and discovered several issues:

1. Production costs were higher than projected, leading to reduced profit margins.
2. Quality control checks revealed that 10% of the smartwatches had defects, resulting in customer complaints and product returns.
3. The marketing budget was exceeded by 20%, yet the advertising campaigns failed to generate the expected customer interest.

The CEO of XYZ Ltd. has now instructed the management team to implement a stricter control system to monitor production costs, improve quality control, and ensure adherence to the marketing budget.

Questions:

- a) What are the key steps that XYZ Ltd. should follow in the controlling process to address the identified issues? **(10 Marks)**
- b) How can XYZ Ltd. use feedback control and feedforward control to improve its assurance and budgeting processes? **(10 Marks)**
- c) What role do performance standards and corrective actions play in ensuring that XYZ Ltd. meets its financial and operational goals. **(10 Marks)**

QUESTION TWO

(30 Marks)

- a) Briefly describe the major contributions of classical management theories to modern management practices. **(15 Marks)**
- b) How did the Human Relations Movement shift the focus of management from efficiency to employee motivation and well-being? Explain briefly. **(15 Marks)**

QUESTION THREE

(20 Marks)

- a) Define departmentalization, and describe any five types commonly used in organizations. **(15 Marks)**
- b) Explain the differences between centralization and decentralization as used in management. **(5 Marks)**

QUESTION FOUR

(20 Marks)

- a) Examine how content theories of motivation explain employee behaviour in the workplace. **(5 Marks)**
- b) Discuss how managers apply Vroom's Expectancy Theory to enhance employee performance and satisfaction. **(15 Marks)**